NEELKANTH MISHRA

It is important to remember that corporates invest when they see an opportunity, not to do national service. Their investments are therefore an outcome, not the starting point. The starting point has usually been the real-estate cycle and power generation—both are in a good place cyclically. Private investment has therefore been rising for the past few years... As growth is now reviving, we expect private investments to pick up as well. Above-trend growth is likely to create jobs in a range of sectors. However, the economic slack is substantial, and labour force participation rates are still low, especially among women. It may not be possible to create jobs for every person of working age. To do so, one may need real growth rates above 9 or 10 per cent annually to sustain for many years.

> **THE PRESSURES ON THE RUPEE WERE NOT JUST BECAUSE OF THE DELAY IN THE TRADE AGREEMENT WITH THE US BUT ALSO BECAUSE OF THE RISE IN THE CAD IN OCTOBER**
>
> **ASHIMA GOYAL**

to cause stress for several pockets.... On the other hand, services exports continue to grow at a rapid clip.... This is likely to continue, and provide good comfort on Balance of Payments. The slowdown in net FDI is primarily due to the rise in FDI repatriation, as a robust stock market is providing exits to private equity investors as well as multinational firms active in India. These exits are important to attract new risk capital—there is clear evidence that it is now picking up as well. We also believe that as earnings stabilise, with the economy recovering, the net selling by foreign portfolio investors is also likely to abate. There are thus no structural issues with the rupee.

Q Household savings fell to around 18 per cent in 2024. How can they be boosted?

DHARMAKIRTI JOSHI

To achieve a sustainable improvement in household savings, it is essential to trigger a virtuous cycle of growth, savings and investments. This can be accomplished through a combination of economic reforms that enhance growth potential and employment opportunities, along with measures to raise awareness and incentivise savings—especially in long-term instruments such as pension funds. Such an approach will help establish and reinforce the virtuous cycle necessary for long-term economic stability.

SAMIRAN CHAKRABORTY

The decline in net household savings has been more than the gross savings as households are now comfortable to increase their liabilities. As long as these liabilities are creating assets, like mortgages, it is a healthy development. In any case, as the wealth of the country increases, it is likely that the propensity to save for households would come down. So the best way to increase overall household savings is to increase the income levels. Obviously, relative returns and tax policies will determine the allocation of these savings between alternate asset classes.

ASHIMA GOYAL

Aggregate Indian savings tend to rise in periods of higher growth. Interest rates affect only the allocation. For example, savings peaked after the high growth period in the 2000s. Aggregate household savings ratios may have fallen, but private corporate savings have risen and government dis-savings have reduced. Household savings are also better allocated today.

SOUMYA KANTI GHOSH

Household savings in India, which had weakened in the post-pandemic period, have begun to recover.... Going forward, savings are likely to strengthen further due to GST rationalisation, which lowers the cost of living and reduces implicit consumption taxes, improving real saving capacity. Along with easing inflation and deeper penetration of formal financial instruments, these factors create a conducive environment for a sustained rise in household savings.

> **THE BEST WAY TO INCREASE OVERALL HOUSEHOLD SAVINGS IS TO INCREASE THE INCOME LEVELS**
>
> **SAMIRAN CHAKRABORTY**

NEELKANTH MISHRA

Savings should first be seen in their entirety. As the real estate market rebounds, physical savings are likely to pick up, which will show that financial savings are slowing—rising household investments are also important for sustaining economic growth. In addition, as there is slack in the labour market, real wage growth is likely to remain weak, and labour share of national income may remain weak. The corollary is that the capital share of income goes up—visible in corporate savings. The measure of savings that reflects aggregate economic saving is the current account; that is likely to remain in moderate deficit, providing stability to the economy. ■